EURO PAYMENT SYSTEM

A visual guide to schemes, payment infrastructures, clearing and settlement.



05
CORE SYSTEMS

03
PAYMENT TYPES

01
EURO ECOSYSTEM

Analyst After Hours

EURO PAYMENT SYSTEMS

European euro payments — the big picture

One currency. Connected banks. Common payment rules across borders.

€ **21**

EURO AREA

Use the euro

EU **27**

EUROPEAN UNION

EU member countries

SEPA **41**

SEPA REACH

Countries & territories

EURO AREA IS PART OF THE EU • SEPA EXTENDS BEYOND THE EU

A SIMPLE EXAMPLE



FRANCE

Sending bank

€500 EURO TRANSFER

SEPA RULES • PARTICIPATING BANKS

GERMANY

Receiving bank



ONE SHARED MARKET — DIFFERENT RAILS FOR STANDARD, INSTANT AND HIGH-VALUE PAYMENTS

EURO PAYMENT SYSTEMS

One payment. Three different layers.

Rules, processing and settlement are separate parts of the euro ecosystem.

01 / SCHEME

SEPA

Common rules for banks

02 / INFRASTRUCTURE

STEP2 · RT1

Validates, routes and processes

03 / FINAL SETTLEMENT

T2 · TIPS

Discharges interbank obligations

SEPA is a scheme framework — it is not itself a clearing house.

EURO PAYMENT SYSTEMS

Three ways to move money in euros

Choose a payment infrastructure based on the transaction's urgency and purpose.

STANDARD RETAIL

Payroll · supplier invoices · direct debit

STEP2

Scheduled

INSTANT RETAIL

Sunday transfer · instant merchant payment

TIPS + RT1

24 / 7 / 365

HIGH-VALUE / URGENT

Treasury · interbank funding · large-value

T2 + EURO1

TARGET business day

EURO PAYMENT SYSTEMS

Who sets the rules — and who runs the rails?

Regulators, scheme managers and operators have different responsibilities.

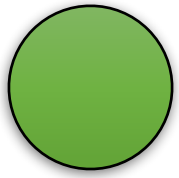


NATIONAL AUTHORITIES • BANK AUTHORISATION + COMPLIANCE

EURO PAYMENT SYSTEMS

SEPA schemes — four everyday services

A scheme specifies who initiates the payment and what it is used for.

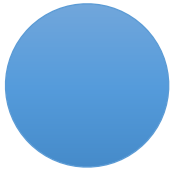


SCT

PUSH

Regular bank transfer

Salary · bills

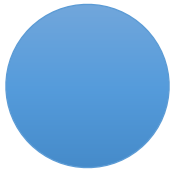


SCT INST

PUSH

Instant euro transfer

24/7 payment

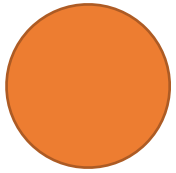


SDD CORE

PULL

Direct debit with mandate

Utilities · subscriptions



SDD B2B

PULL

Business-to-business debit

Business collections

Euro area: 21 members in 2026. SEPA: 41 countries and territories.

Credit transfer vs direct debit

A simple visual test: who initiates the movement?

SCT · PAYER PUSHES

The payer instructs the bank to send money.



Example / €2,000 salary

SDD · PAYEE PULLS

The payee collects under a valid mandate.

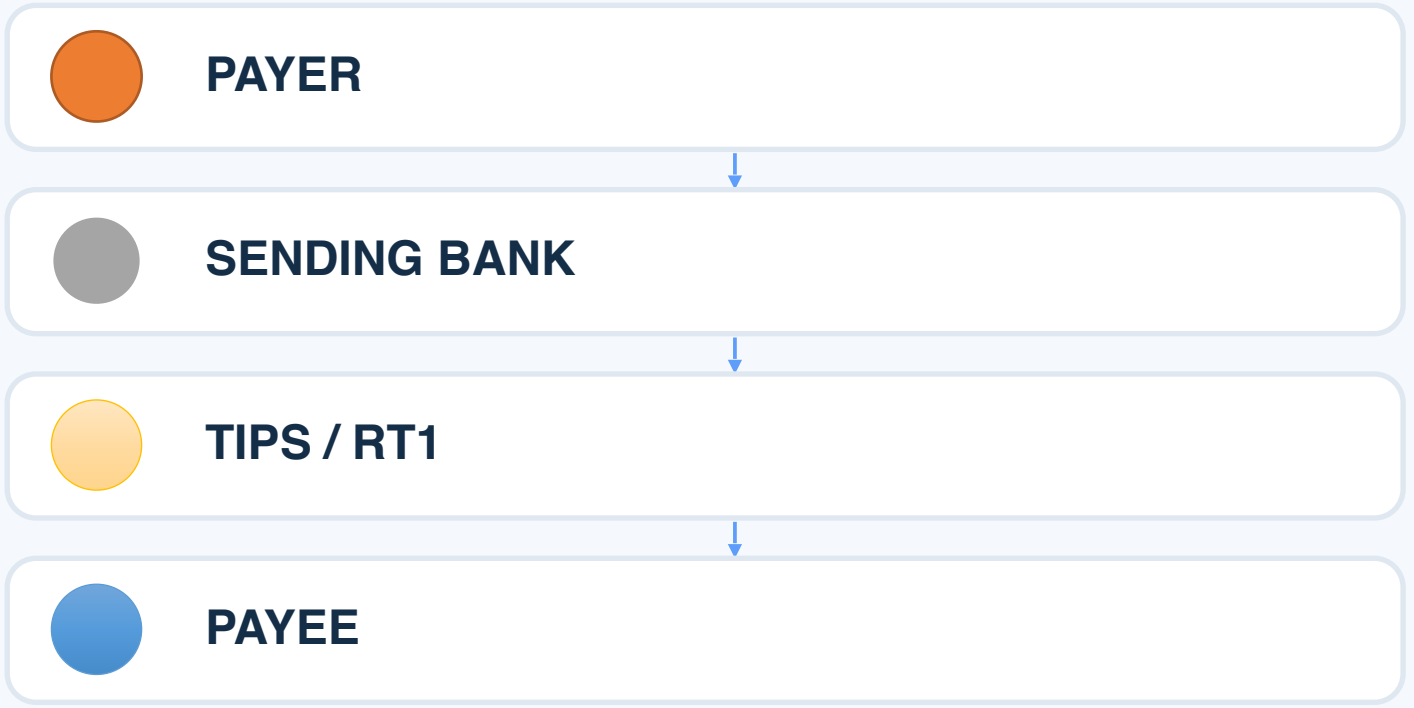


Example / €85 energy bill

SCT Inst — built for seconds

Instant euro payments are available at any hour of the year.

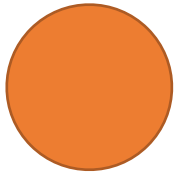




24 HOURS × 7 DAYS × 365

ISO 20022 — a few essential message codes

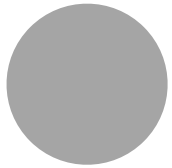
Customer instruction → interbank payment → status or return.



PAIN

CUSTOMER TO BANK

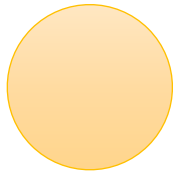
- pain.001 Credit transfer
- pain.008 Direct debit



PACS

BANK TO BANK

- pacs.008 Credit transfer
- pacs.003 Direct debit
- pacs.009 FI-to-FI



STATUS

EXCEPTIONS

- pacs.002 Status
- pacs.004 Return
- camt.056 Recall request

Message codes are not payment systems; each system has its own supported message versions.

STEP2 / Standard retail clearing

The pan-European workhorse for SCT and SDD retail payments.

STEP2

BULK RETAIL



Large volumes of payments, processed by cycles.

HOW A PAYMENT MOVES

1. **Bank submits SEPA files**
2. **STEP2 validates and routes**
3. **CGS settles funded orders**
4. **Receiving bank gets the result**

EBA CLEARING · Scheduled processing + continuous gross settlement

STEP2 | Technical snapshot

Standard credit transfers and direct debits

STEP2

SCT + SDD

EBA CLEARING

MESSAGES

pacs.008 · pacs.003
pacs.002 · pacs.004

AMOUNT RULE

SCT up to €999,999,999.99
Bank caps may be lower

CLEARING

Scheduled windows
+ file validation

SETTLEMENT

CGS in central
bank funds

TARGET settlement days · Service-specific cycles

TIPS / Central-bank instant settlement

A Eurosystem service that settles instant payments individually.

TIPS

INSTANT · RTGS



Final, irrevocable transfer in central bank money.

HOW A PAYMENT MOVES

1. Bank sends instant payment
2. TIPS checks available liquidity
3. A debited · B credited individually
4. Beneficiary bank credits customer

EUROSYSTEM · Per-payment gross settlement · 24/7

TIPS I Technical snapshot

Instant central-bank-money settlement

TIPS

INSTANT / GROSS

EUROSYSTEM

MESSAGES

pacs.008
pacs.002 · pacs.004

AMOUNT RULE

No TIPS upper cap
Banks set limits

CLEARING

Validates eligibility
+ available funds

SETTLEMENT

Individual, final
gross settlement

24 / 7 / 365 · SCT Inst 10-second service requirement

RT1 / Industry-operated instant payments

An EBA CLEARING system delivering euro SCT Inst payments.

RT1

INSTANT · PRIVATE OPERATOR



Instant processing backed by central bank funds.

HOW A PAYMENT MOVES

1. Bank sends SCT Inst instruction
2. RT1 validates + routes
3. RT1 settles in central-bank funds
4. Beneficiary bank credits customer

EBA CLEARING · Instant settlement arrangements supported through TIPS

RT1 | Technical snapshot

Pan-European instant payments

RT1

SCT INST / RTGS

EBA CLEARING

MESSAGES

pacs.008 · pacs.002
pacs.004

AMOUNT RULE

No SCT Inst
scheme ceiling

CLEARING

Immediate validation
+ routing

SETTLEMENT

Real-time gross
central-bank funds

24 / 7 / 365 · Subject to SCT Inst response timing

T2 / High-value euro RTGS

The Eurosystem's RTGS service for urgent and large-value payments.

T2

HIGH-VALUE · RTGS



Each payment settles individually, finally.

HOW A PAYMENT MOVES

1. Bank sends high-value instruction
2. T2 checks liquidity + status
3. Individual RTGS debit and credit
4. Receiving bank gets final funds

EUROSYSTEM · Central bank accounts · Operating day

T2 | Technical snapshot

High-value and time-critical transfers

T2

HIGH-VALUE / RTGS

EUROSYSTEM

MESSAGES

pacs.008 · pacs.009
pacs.002

AMOUNT RULE

No formal system
amount ceiling

CLEARING

Per-message checks
+ optional queue

SETTLEMENT

Individual real-time
central-bank RTGS

TARGET business days · Payment-type-specific cut-offs

EURO1 / Liquidity-efficient high-value

A private-sector payment system with immediate finality and end-day net settlement.

EURO1

HIGH-VALUE · SOS



Immediate finality; net positions settle later in T2.

HOW A PAYMENT MOVES

1. Bank sends large-value payment
2. EURO1 applies position limits
3. Processed payment becomes final
4. End-day net obligation settles in T2

EBA CLEARING · Single Obligation Structure (SOS)

EURO1 | Technical snapshot

Large-value euro payments with net final positions

EURO1

HIGH-VALUE / SOS

EBA CLEARING

MESSAGES

pacs.008 · pacs.009
pacs.010 · pacs.004

AMOUNT RULE

Participant debit / credit position limits

CLEARING

Immediate checks + possible queue

SETTLEMENT

Final at processing
T2 net at end-day

Business-day processing · System-specific cut-offs

Three settlement designs. Three different mechanics.

The key difference is when—and how—the obligations are discharged.

RTGS

T2 / TIPS

Each payment settles as an individual debit and credit.

A – €100

B + €100

CGS

STEP2

Bulk instructions; funded orders settle continuously.

ORDER 1 ✓

ORDER 2 ⏳

SOS

EURO1

Immediate finality; net bank positions settle via T2.

PAYMENT FINAL

NET END-DAY

EURO PAYMENT SYSTEMS

Which payment rail should you choose?

Same currency, different use case — and therefore a different processing route.

PAYROLL

€2,000

SCT → STEP2

SUNDAY TRANSFER

€150

SCT INST → TIPS / RT1

BANK TREASURY

€10m

HIGH-VALUE → T2 / EURO1

EURO PAYMENT SYSTEMS

Five systems — side-by-side

The essential comparison for revision and training.

STEP2

RETAIL

OPERATOR

EBA CLEARING

SETTLEMENT

CGS

AVAILABILITY

TARGET days

TIPS

INSTANT

OPERATOR

Eurosystem

SETTLEMENT

RTGS

AVAILABILITY

24 / 7

RT1

INSTANT

OPERATOR

EBA CLEARING

SETTLEMENT

RTGS

AVAILABILITY

24 / 7

T2

HIGH-VALUE

OPERATOR

Eurosystem

SETTLEMENT

RTGS

AVAILABILITY

TARGET days

EURO1

HIGH-VALUE

OPERATOR

EBA CLEARING

SETTLEMENT

SOS / net T2

AVAILABILITY

Business days

THANK YOU

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